MRVL

Marvell Technology

皮褸黃 Capital · Investment Research Summary for the Owner

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from the AI department reports

CEO VERDICT: VETOED BY RISK — DO NOT BUY

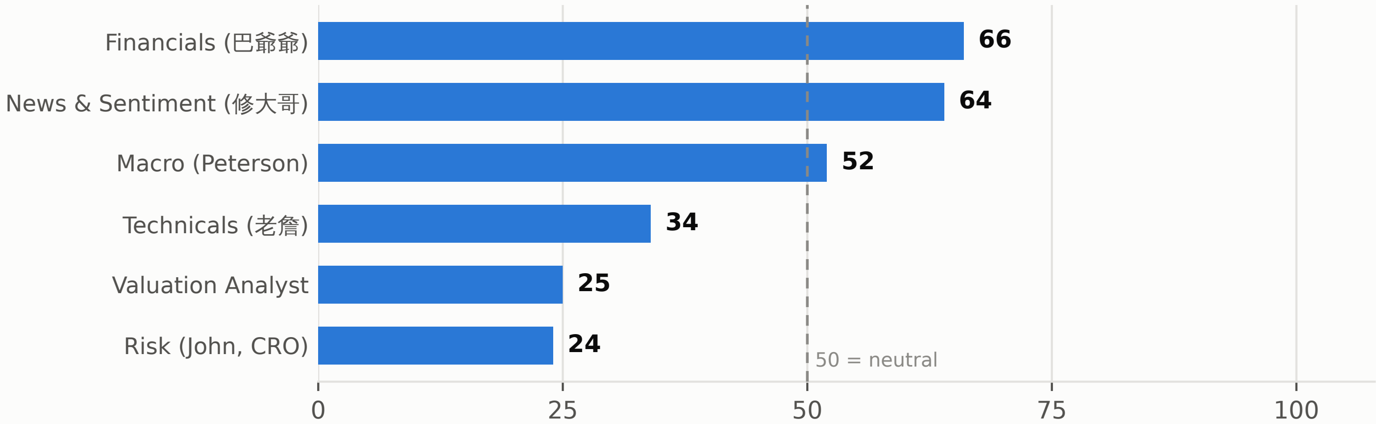
Price (17 Jul 2026)	Fall from high	Firm's fair value	Price vs fair value
$188.68	**−43%**	**$55–105**	**+170% over**

WHAT THE AI DEPARTMENTS CONCLUDED, IN ONE SENTENCE

A real AI-silicon grower, but the number-two in a duopoly Broadcom dominates — and a moat that has never once earned its cost of capital.

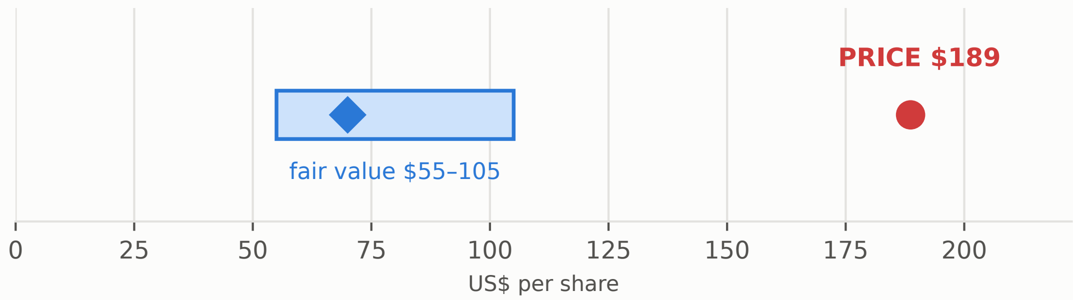
DEPARTMENT SCORECARD

Each AI department scored the idea out of 100. Lower = worse for buying at today's price.



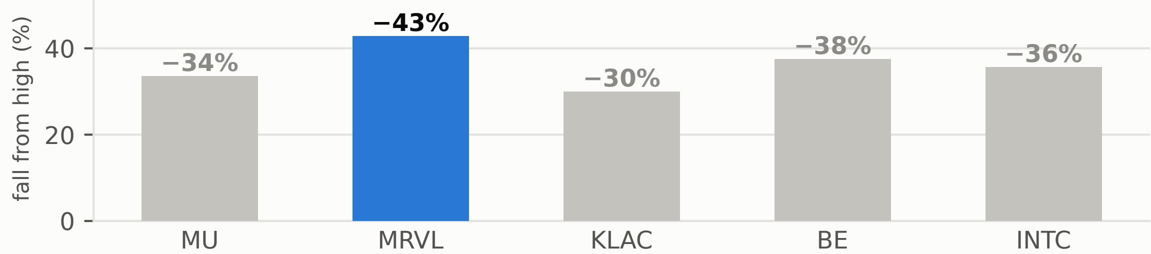
THE PRICE GAP

Blue band = what the firm thinks it is worth. Red dot = what it costs today.



HOW FAR IT HAS FALLEN

MRVL highlighted in blue; the other names in the batch shown for context.



MRVL — what the AI agents found

THE CASE FOR — what the agents found genuinely good

- Genuine AI inflection: FY26 revenue $8.195B (+42%); data centre is now 76% of the business.
- Rebuilt win slate — a new Google 'Merope' inference chip worth up to $12B over its life, plus Microsoft Maia 300 and an Amazon Trainium 4 variant.
- The optics franchise is the real moat: ~60–70% share of 400G+ optical DSPs, held through a technology transition.
- Management (B+) allocated capital well — sold the auto-Ethernet unit for $2.5B cash and bought back stock near the lows.
- Balance sheet is safe: $3.84B cash vs $4.96B of laddered fixed-rate debt, interest covered ~7x.

THE CASE AGAINST — why the firm is not buying

- Has NEVER earned its cost of capital including the goodwill from Inphi/Cavium — roughly 6% GAAP ROIC.
- Custom-chip 'lock-in' lasts one generation, not several: Amazon's Trainium 3 compute die went to a cheaper Taiwanese rival.
- Top-10 customers are 82% of revenue — the highest concentration in the firm's coverage.
- Essentially 100% dependent on TSMC for both wafers and packaging, with no owned fabs and no hedge.
- Fair value $55–105 vs a $188 price. Even the bull case is 45% below the current price.

WHAT WOULD CHANGE THE ANSWER — the tripwires to watch

- Price near $70 (fair value) — or a documented re-rating that creates a real margin of safety.
- Whether Trainium 4, Maia 300 or Google Merope slip to a competitor — a third socket loss confirms commoditisation.
- Any big-four hyperscaler cutting 2026–27 capex guidance.
- Confirmed technical reversal — the chart says do not catch this knife.

RISK OFFICER'S RULING (John, CRO — holds veto power)
VETOED — no entry clears both timing and valuation

QUALITY CONTROL — what the AI Auditor caught (Ai 管理層)
Valuation and risk passed with flags. The moat report was found MISSING from disk (a silent write failure by the CEO) and was re-filed.